Referring to the criticism regarding the bank's 'acquiescence' in the enormous currency expansion during the war years against sterling assets, and the resultant inflationary conditions in the country, the note remarked that the critics had not given due weight to the provision in the Act which imposed an obligation on the bank to exchange rupees for sterling. 'It was open to the Legislature', the note argued, 'to have pressed for an amendment of the concerned clause'.[4]

In concluding, the note observed that though there was a growing trend abroad towards nationalization of central banks, and that while in the long run it might be desirable to nationalize the RBI, the real question was 'whether the present is the time to do so'. The nationalization of the Bank of England had been carried out because the British Government was ready with definite economic plans which it was keen to put into operation immediately. In India, any full-fledged large-scale economic planning was a remote possibility, and such planning as could be undertaken then was not likely to be hampered by the bank's set-up. The note concluded that 'the case for nationalization at the moment seems to be weak and inconclusive'. The note was discussed informally by the Committee of the Central Board on January 29, 1947.[5]

Meanwhile, the government received notice of a resolution from a Member of the Legislature, Mohan Lal Saksena, recommending to the Governor General 'to take necessary steps to nationalize the Reserve Bank of India and the Imperial Bank of India as a prelude to nationalization of banking and Insurance in India'. The Finance Department again wrote to the bank on January 25, 1947, asking for the Research Department's note as also the bank's views on nationalization of the Imperial Bank.

Forwarding a copy of the Research Department's note on nationalization to the government, on January 31, Deshmukh mentioned that it had been discussed informally by the Committee of the Central Board. The Governor considered it premature to request the Committee to express any considered opinion on the question, or even to refer the matter to the full Central Board at its meeting on February 11. He feared that the Board would not be prepared to make any recommendations at that meeting in view of the short time and also in the absence of any indication regarding the government's policy with regard to the whole question of nationalization. He added that if the government insisted, he would put the question to the Board, and he